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1500 W Highland, LLC, et al v. Oregon Trail Corporation, et al.

Tuesday,

September 22, 2026

[TENTATIVE] ORDER SUSTAINING DEMURRER TO SECOND AMENDED COMPLAINT AND GRANTING THE SEPARATELY FILED MOTION TO STRIKE (3264)

I.

BACKGROUND

The

second amended complaint alleges that Defendant, Oregon Trail Corporation ("OTC"), through its agents, owners, and employees, Eric Mark Sr., Eric Mark, Jr., and Christopher Mark ("Mark Defendants") (collectively, "Defendants") issued three commercial loans to the Borrower LLCs, (1500 W. Highland, LLC and 15918 Merrill, LLC), secured by real property. Plaintiff, Jose Gonzalez, allegedly signed personal guaranties for each loan.

Plaintiffs

allege Defendants charged usurious interest rates and inflated origination fees. Plaintiffs allege claims for (1) contractual unconscionability, (2) unfair competition, (3) negligence per se, (4) violation of DRE Licensing Act, (5) failure to disclose, and (6) usury.

On

March 18, 2025, Plaintiffs voluntarily dismissed the LLC Borrowers leaving Jose Gonzalez, the alleged guarantor of some of the loans, as the only Plaintiff.

On

April 23, 2026, the Court granted the Mark Defendants and OTC's motion for judgment on the pleadings. Plaintiffs filed a second amended complaint on May 26, 2026. The Mark Defendants and OTC ("Defendants") demur to the First Cause of Action for Contractual Unconscionability, Second Cause of Action for Unfair Competition, Third Cause of Action for Negligence Per Se, Fifth Cause of Action for Failure to Disclose, and Sixth Cause of Action for Usury on grounds Plaintiff did not cure the defects identified by the Court when it granted Defendants' motion for judgment on the pleadings.

Defendants'

notice incorrectly identifies the Fifth Cause of Action for Failure to Disclose as the fourth cause of action and the Sixth Cause of Action for Usury as the fifth cause of action. The memorandum, however, correctly identifies and addresses those claims as the Fifth and Sixth Causes of Action and does not separately challenge the Fourth Cause of Action for Violation of the DRE Licensing Act. Although the reply addresses Plaintiff's allegations concerning an allegedly unlicensed broker, origination fees, and violations of the Real Estate Law, those arguments do not expand the causes of action placed at issue by the demurrer. The Court therefore construes the demurrer as directed to the First, Second, Third, Fifth, and Sixth Causes of Action only. The Fourth Cause of Action is not before the Court on this demurrer.

II.

LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

The court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ.

Proc., § 430.10(e); *Zelig v. County of Los Angeles* (2002) 27 Cal.4th 1112, 1126.)

Sufficient facts are the essential facts of the case stated, "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (*Gressley v. Williams* (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 609–610.)

A demurrer may also be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing, they do not sufficiently apprise a defendant of the issues it is being asked to meet. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

A pleading is required to assert general allegations of ultimate fact. Evidentiary facts are not required. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 47; *Lim v. The TV Corp. Internat.* (2002) 99 Cal. App. 4th 684, 690.)

III.

DISCUSSION

A.

Judicial Notice

The court grants

Defendants' request for judicial notice of public records showing that the parcels of property that served as security for each of the loans, have been foreclosed upon and sold or reconveyed. (Evid. Code §452(c); *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 264 ["courts have taken judicial notice of the existence and recordation of real property records, including deeds of trust, when the authenticity of the documents is not challenged."].) Defendants argue that without an obligation, there is no viable claim.

B.

Contractual Unconscionability

Defendants

argue that the borrowers on the loans for three parcels of real property

securing the notes were the now dismissed LLCs. Gonzalez guaranteed those notes. The parcels of property at issue have been foreclosed upon via full credit bid, which extinguishes the loans and guarantees. This undermines the claim for rescission of the loan contracts.

Plaintiff

argues that the loan at issue is the mortgage secured by Mr. Gonzalez's primary residence at 9365 Gallatin Road. He is the record title holder and personal borrower on the note and Deed of Trust and asserts usurious interest and unconscionability in reference to the personal mortgage. He contends this is his personal loan.

However,

the second amended complaint alleges that the loan at issue is the commercial loan taken out by Mark Defendants on a Florence Avenue home in Bell owned by Gonzalez. The loan required Gonzalez to sign under penalty of perjury that the Bell California home was not his principal residence, but rather Gonzalez's true and principal residence was located at Gallatin Road in Downey. (SAC ¶ 14.) These allegations contradict Plaintiff's opposition that the loan at issue is a personal mortgage secured by the Gallatin residence.

Once

a full credit bid in an amount equal to the unpaid principal and interest of the mortgage debt, with costs and fees is successfully made, resulting in acquisition of the property, the borrower "is released from further obligations under the defaulted note." (Kalnoki v. First American Trustee Servicing Solutions, LLC (2017) 8 Cal.App.5th 23, 45.)

Gonzalez

alleges he entered into a series of loans with OTC "directly and indirectly through LLCs he owned" and which loans he signed "as their manager." (SAC ¶ 5.)

The

defect remains that the borrowers were the now dismissed LLCs. A nonjudicial foreclosure sale constitutes a "final adjudication of the rights of the borrower and lender." (Kalnoki v. First American Trustee Servicing Solutions, LLC (2017) 8 Cal.App.5th 23, 49.) Even if Gonzalez was a borrower, the sale finally adjudicated his rights as borrower.

The

amendments to the complaint do not clarify what is at issue. Again, the loan at

issue is the loan on the Bell property located at Florence Ave, which Plaintiff declared was not his principal residence, not a personal mortgage on his Gallatin home. (SAC ¶ 14.) The second amended complaint seeks rescission of that loan because Gonzalez speaks and reads Spanish which impaired his ability to understand the documents provided to him. (SAC ¶ 5.)

Plaintiff

does not address the issue raised by Defendants that once the deed is reconveyed, as Defendants observe, there is no basis for rescission as the reconveyance eliminates that claim. Defendants contend that unconscionability-based rescission requires a live contract to unwind.

Plaintiff

cites *De La Torre v. CashCall, Inc.* (2018)

5 Cal.5th 966, which generally provides for a

cause of action for unconscionability arising from excessive interest rates.

(Id. at 990.) Plaintiff has not adequately addressed the issue of whether he is entitled to rescind a promissory note that has been reconveyed following a sale; instead, Plaintiff argues Defendants are addressing loans that are not at issue.

As

De La Torre explains, unconscionability requires a showing of facts showing oppression or surprise (procedural unconscionability) and facts showing that the contract was overly harsh or one-sided (substantive unconscionability.) (De La Torre at 982.)

Plaintiff

alleges he speaks and reads Spanish, that it would be obvious to Defendants that his ability to understand would be impaired, and the loan documents were presented as contracts of adhesion. (SAC ¶ 5.) None of these conclusory facts support the claim that the loan documents were unconscionable, procedurally or substantively. The defect remains.

C. Unfair Competition 17200

This

claim alleges that Defendants' conduct with respect to the loan at issue was usurious. (SAC ¶ 27.)

Defendants

contend correctly that this cause of action must be alleged with particularity.

As defined by statute, “unfair

competition” includes “any unlawful, unfair or fraudulent business act or

practice.” (Bus. & Prof. Code, § 17200). Its purpose is to protect both

consumers and competitors by promoting fair competition in commercial markets

for goods and services.” (Gutierrez v.

Carmax Auto Superstores California (2018) 19 Cal.App.5th 1234, 1265). A plaintiff alleging unfair business

practices under the UCL must state with “reasonable particularity” the facts

supporting the statutory elements of the violation. (Khoury v.

Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619 [Where Plaintiff did not identify the statutory

scheme which was allegedly violated and the particular facts supporting the

violation].

Plaintiff argues he has alleged injury in

fact, that the unlawful encumbrance of his primary residence, payment of

usurious fees and the wrongful threat of foreclosure provide injury in fact. However,

the alleged loan at issue was made on the Bell property, owned by Gonzales, but

was not his principal residence. (SAC ¶ 14.)

The claim remains fatally defective.

D. Negligence

Per Se

This

claim is based on an alleged breach of a fiduciary duty owed by Defendants by

allowing unlicensed people to broker loans through a company. (SAC ¶ 32.) A negligence claim requires factual allegations showing

that defendant owed plaintiff a duty of care, breach of that duty, causation

and damages. (Merrill v.

Navegar, Inc. (2001) 26

Cal.4th 465, 477; Jones v.

Grewe (1987) 189

Cal. App. 3d 950, 954.) The absence of these allegations renders a complaint

fatally defective and is properly challenged by demurrer. (Id.); (Hegyes v.

Unjian Enterprises, Inc. (1991) 234 Cal.App.3d 1103.) In addition to the lack

of facts, inclusion of property that has

been subsequently sold renders the operative pleading fatally uncertain.

The

pleading must allege facts supporting each element of a negligence claim which are: "the defendant's duty to conform to a certain standard of care for the protection of others against unreasonable risks; (2) the defendant's breach of that duty; (3) a reasonably close connection between the defendant's conduct and the resulting injuries, otherwise known as proximate causation; and (4) actual loss suffered by the plaintiff.

" (E.I. v. El Segundo Unified School Dist. (2025) 111 Cal.App.5th 1267, 1285.) The cause of action is defective as alleged.

Plaintiff

alleges that Eric Mark, Sr. through OTC broke the loan on the Bell property in December 2021. (SAC ¶ 21.) Plaintiff alleges that Sr. had a broker's license but that it was revoked. The Department of Real Estate Records attached to the complaint refer to Eric Mark without distinguishing between Jr. and Sr. The pleading represents that Exhibit 1 is the revocation of Eric Mark Sr. "aka Jr." Is Eric Mark one person or two different people?

The

operative pleading is incomprehensible and not supported by the exhibits attached to the complaint. Exhibits attached to the complaint that contradict allegations take precedence. (Mead v. Sanwa Bank California (1998) 61 Cal.App.4th 561, 567–568 ["If the facts appearing in the attached exhibit contradict those expressly pleaded, those in the exhibit are given precedence."].)

D.

Failure to Disclose

This claim asserts one

that Defendants intentionally failed to provide the proper disclosures on "the above loans" and loans disguised as commercial loans in order to avoid proper disclosure. (SAC ¶ 38.) Plaintiff "relied that Defendants were properly licensed." (SAC ¶ 39.) Plaintiff relied "that" all requirements for the residential loan had been followed and disclosed. (SAC ¶ 39.)

The claim remains

fatally uncertain as to what loan is really at issue, brokered by which defendant (Sr. or Jr.) or what tort claim Plaintiff is attempting to allege, facts showing how Defendants owed a duty to disclose, and the claim lacks any specific identification of the "proper disclosures" at issue.

E.

Usury

This

claim generally alleges that Defendants charged rates in excess of the required disclosures, or in some cases with no disclosure. The SAC is fatally uncertain as to what loan(s) are implicated and by which Mark defendant or which Mark defendant's license was revoked and when.

The

loan alleged to be at issue was a commercial loan on the Bell property which Plaintiff declared was not his primary residence. The accusations attached to the second amended complaint concern Christopher Mark, who did not broker the Bell property loan.

The

claim remains fatally defective.

F. Motion

to strike

Defendants

separately move to strike allegations claiming punitive damages. (SAC ¶¶ 41, 48, and the prayer for punitive damages. A plaintiff may recover on a claim for exemplary damages where the defendant is guilty of oppression, fraud, or malice. (Civ. Code, § 3294 subd. (a).) The predicate acts to support the claim must be intended to cause injury or must constitute "malicious" or "oppressive" conduct as defined by statute.

"Malice" is defined as "conduct which is

intended by the defendant to cause injury to the plaintiff or despicable

conduct which is carried on by the defendant with a willful and conscious

disregard of the rights or safety of others." (Civ. Code, § 3294 subd. (c)(1); *College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725 ["malice involves awareness of

dangerous consequences and a willful and deliberate failure to avoid them"].)

"Oppression" is defined as

"despicable conduct that subjects a person subjects a person to cruel and unjust

hardship in conscious disregard of that person's rights."].) In other words, absent an intent to injure the plaintiff, the conduct must be "despicable" defined as "base, vile, or contemptible." (College Hospital Inc. v. Superior Court (1994) 8 Cal.4th 704, 724.)

None of the claims at issue survive demurrer. Therefore, there are no facts to support the predicate acts of malice, fraud, or oppression to support recovery of punitive damages.

IV.

CONCLUSION

Based

on the foregoing, Defendants' demurrer to the First, Second, Third, Fifth, and Sixth Causes of Action is SUSTAINED. Defendants did not demur to the Fourth Cause of Action for Violation of the DRE Licensing Act, which remains operative. The motion to strike is GRANTED. Plaintiff was previously given leave to amend, and none of the defects in the challenged causes of action were cured. Accordingly, leave to amend as to the First, Second, Third, Fifth, and Sixth Causes of Action is DENIED.